with the customs), which might remain somewhat incomplete for a number of reasons in the short run. Defense imports are not reflected in the customs data.

Capital Account Balance

It is the sum of items i to vi above.

Capital account total (net) = External assistance (net) + Commercial Borrowings (net) + Nonresident deposits (net) + Foreign investments (net) + Other flows (net).

If the capital account balance is positive, it is said to be surplus. Surplus capital account balance means favourable capital account balance. If the capital account balance is negative, it is said to be deficit. Deficit capital account balance means unfavourable capital account balance.

Capital account balance is calculated with and without errors and omission.

III. Errors and Omission

Errors and omission means the difference between debit and credit entries of all transactions. It was already said that each transaction is entered twice in double entry book keeping by recording each transaction twice consisting of two opposite entries with equal values: one with a credit entry (signifying inflow) and the other with a debit entry (signifying outflow). Ideally speaking in this system both debit side and credit side should be equal but as the data is compiled from various sources some mismatch if found to happen. This is called errors and omission.

IV. Overall Balance / Balance of Payment

The overall balance is the sum of current account balance and capital account balance.